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MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)
REGULAR EXAMINATION OCTOBER 2026
FIFTH SEMESTER
Discipline Specific Elective (DSE) - MG5DSEBBA301 - CONSUMER BEHAVIOUR
(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Part A
SHORT ANSWER QUESTIONS

Answer five questions, one from each pair (a / b). Each question carries 3 marks. [5 x 3 = 15]

1a) Describe the concept of Value Perception. ***[U] / [CO1]***

Suggested pointers for the answer:
Value perception is the consumer's overall assessment of what is received (benefits such as quality, performance, status) relative to what is given up (price, time, effort, risk).
Components: Functional value, emotional value, social value and monetary (price) value; perceived benefits versus perceived sacrifices (get vs give).

1b) State the relationship between Consumer Behaviour and marketing concepts. ***[U] / [CO1]***

Suggested pointers for the answer:
Foundation of the marketing concept: The marketing concept aims at satisfying customer needs profitably; consumer behaviour (CB) studies how individuals select, buy, use and dispose of products, which supplies the understanding needed to do so.
STP and marketing mix: CB insights guide segmentation, targeting and positioning, and the design of product, price, place and promotion decisions.
Satisfaction, loyalty and research: CB helps in predicting demand, building customer satisfaction, loyalty and relationship marketing; marketing research relies on CB. Example may be given.
Or Any other valid points

2a) Explain the major stages involved in the consumer decision-making process. ***[K] / [CO2]***

Suggested pointers for the answer: (name and brief explanation of each stage)
Need recognition: Awareness of a gap between actual and desired state, triggered by internal or external stimuli.
Information search: Internal (memory) and external (friends, media, online reviews) search for options.

Suggested pointers for the answer: (name and brief explanation of each stage)
Evaluation of alternatives: Comparing brands on important attributes and evaluative criteria.
Purchase decision: Choice of brand, seller, time and payment method; influenced by attitudes of others and situational factors.
Post-purchase behaviour: Satisfaction or dissatisfaction, cognitive dissonance, repurchase, word-of-mouth.

2b) What is a consumer decision-making model? Briefly explain the Economic Model of consumer behaviour. *[K] / [CO2]*

Consumer decision-making model: A simplified representation showing the inputs, processes and outputs involved in how consumers decide what to buy; it helps explain and predict behaviour.
Economic Model: Views the consumer as a rational 'economic man' who maximises utility from limited income, with full information; choices depend on price, income, prices of substitutes and complements, and tastes (law of demand, diminishing marginal utility).
Evaluation / limitation: Ignores emotions, social and psychological influences, limited information and habitual buying, hence considered unrealistic.

3a) Explain any three factors that determine the influence of a reference group on consumer behaviour. *[K] / [CO3]*

(Any three factors, 1 mark each for identification and explanation)
Product conspicuousness / visibility: Influence is stronger for products consumed publicly (clothes, cars) than privately.
Product necessity vs luxury: Reference groups influence luxury and discretionary products more than necessities.
Credibility, attractiveness and power of the group: Groups seen as credible, attractive or able to reward/punish exert more influence.
Individual's confidence / susceptibility: Those with low self-confidence or high need for approval conform more.
Group cohesiveness and information / experience: Closer groups exert greater conformity pressure; lack of own product knowledge increases reliance on the group. Any other relevant factor.
Or any other valid/ relevant factor.

3b) Explain how subculture affects the buying decisions of Indian consumers. *[An] / [CO3]* .

Meaning of subculture: A distinct group within a larger culture sharing values, beliefs and customs.
Bases of subculture in India: Religion, region and language, age, nationality or ethnic background, rural-urban and gender.

Effect on buying with examples: Food habits (vegetarian, halal), festival buying (Onam, Diwali, Eid, Christmas), attire, regional-language advertising, adapted products (e.g., McAloo Tikki in India). Marketers use subculture for segmentation and localisation.

4a) A customer compares prices, reads online reviews and purchases through a mobile app. Identify and explain how digital transformation has influenced this consumer's buying behaviour. ***[A] / [CO1]***

Suggested pointers for the answer:
Search and evaluation: Easy access to information and price-comparison tools reduces search cost and empowers the consumer.
Online reviews: E-WOM, ratings and social proof build trust and shape evaluation of alternatives and perceived risk.
Mobile purchase and post-purchase: Convenience of m-commerce, digital payments (UPI), personalised offers and quick delivery; easy feedback, reviews and returns affect post-purchase behaviour. Consumer journey is now omni-channel.
Or Any other relevant point.

4b) What is meant by Customer Experience? ***[K] / [CO1]***

Customer experience is the sum total of a customer's cognitive, emotional, sensory and behavioural responses to a firm across all interactions (touchpoints); Covers pre-purchase, purchase and post-purchase stages, including advertising, website/app, store, staff, product use and service support; Suitable example (e.g., a smooth app-to-delivery experience); good experience builds satisfaction and loyalty.

5a) List any three personal antecedents of consumer involvement. ***[K] / [CO4]***

Personal needs and values: Products linked to important needs or core values raise involvement.
Interest: Personal interest in the product category or activity.
Self-concept / ego involvement: Products that express or reinforce one's self-image.
Perceived risk: Financial, social, psychological or performance risk increases involvement.
Past experience / knowledge: Prior experience and product knowledge influence the level of involvement. Any other relevant antecedent.
Any other relevant point

5b) What is personality? How can consumption choices contribute to self-expression? *[A] / [CO4]*

Meaning: The enduring pattern of psychological characteristics and traits that makes an individual distinct and shapes responses to the environment (trait, Freudian and neo-Freudian approaches may be mentioned).
Self-concept, self expression and brand personality: Consumers choose products and brands congruent with actual or ideal self-image; brands have personalities that consumers use as symbols. Consumption choices let people express who they are, or want to be, because products and brands act as symbols of identity, values and status. For example, formal suits signal professionalism, organic food signals health and ethical values, and a premium smartphone or car signals success. By choosing items that match their actual or ideal self-image, consumers communicate their personality and group membership to others without words. Other examples: Clothing, cars, gadgets, food and lifestyle choices communicate identity, values and status to others; with examples.

Part B

SHORT ESSAY QUESTIONS

Answer three questions, one from each pair (a / b). Each question carries 5 marks. [3 x 5 = 15]

6a) Explain the major objectives of the Consumer Protection Act, 2019. *[U] / [CO1]*

Protection of consumer interests: Replaces the 1986 Act to protect consumers against unfair trade practices, defective goods and deficient services in the changed market, including e-commerce and direct selling.
<u>Major Objectives:</u>
Speedy and simple redressal: Three-tier Consumer Disputes Redressal Commissions (District, State, National); e-filing and simplified procedure.
Product liability: Fixes liability on manufacturers, sellers and service providers for harm caused by defective products or deficient services.
Consumer rights and awareness: Safeguards the six consumer rights (safety, information, choice, to be heard, redressal, consumer education).
Central Consumer Protection Authority (CCPA): Establishes the CCPA to regulate matters of consumer rights, unfair trade practices and false or misleading advertisements, with powers of investigation, recall and penalties.
Alternative dispute resolution / other: Provision for mediation; action against misleading endorsements; regulation of unfair contracts. Or Any other relevant objective.

6b) A food company notices that consumers are increasingly preferring healthier products. Explain how the company can use Consumer Behaviour knowledge to respond to this change. *[A] / [CO1]*

Suggested pointers for the answer: (1 mark may be awarded for identification and explanation of each point) Any five. Mark liberally.
Consumer research: Study changing attitudes, motives, health consciousness and perceptions through surveys, focus groups and sales data.
Segmentation, targeting and positioning: Identify health-conscious segments (fitness seekers, parents, elderly) and position products as healthy, natural or low-sugar.
Product and packaging: Reformulate or launch healthier variants; clear labelling of ingredients and nutrition to reduce perceived risk.
Communication and reference groups: Credible messages and endorsements by doctors, nutritionists or influencers; address concerns about taste through sampling and trial.
Pricing, distribution and follow-up: Value-based pricing, availability in the right outlets, monitoring satisfaction and repeat purchase. Or Any other relevant point.

7a) Discuss how focus group discussions and in-depth interviews help in understanding consumer motivations. *[U] / [CO2]*

Focus group discussion (FGD): A moderator-led discussion with 6 to 10 participants; group interaction brings out attitudes, perceptions and shared opinions.
How it helps in understanding motivations: • Group interaction reveals motives: participants react to each other's comments, agree, disagree and build on ideas. This brings out reasons and feelings that might not surface in a direct question. • Spontaneous reactions: the words, tone and emotions participants use show how they really feel about a product, for example, calling a brand "trustworthy" or "old-fashioned". • Shared attitudes and social influences: it shows what the group considers acceptable or fashionable, which helps explain the role of reference groups, culture and peer influence in buying. • Idea generation and testing: consumers' reasons for liking or rejecting a new concept, package or advertisement help marketers refine products and messages. • Quick and economical: many views are gathered in one session.
In-depth interview (IDI): One-to-one, unstructured or semi-structured interview with probing and laddering by a trained interviewer.

How it helps in understanding motivations:

- Deep probing: the interviewer keeps asking "why" and follows up on answers. In laddering, for example, a person who buys a particular phone for its camera may eventually reveal the deeper motive of wanting to be seen as stylish or to preserve family memories.
- Uncovers personal and sensitive motives: with no group present, people can discuss private matters such as health products, finance or status concerns more honestly.
- No group pressure: answers reflect the individual's own views rather than conformity with others.
- Reveals unconscious motives: techniques such as projective questions ("Why do you think other people buy this brand?") help bring out hidden feelings and meanings.
- Detailed understanding of the decision process: it shows how one consumer moves from need to purchase and what influences each step.

Limitations: Both are qualitative motivational research methods that go beyond what surveys capture; findings are not statistically generalisable.

7b) Explain, with an example, how consumer profiles help in designing promotional campaigns. ***[U] / [CO2]***

Consumer profile: A description of target consumers by demographic, geographic, psychographic and behavioural characteristics.

How consumer profiles help in designing promotional campaigns:

- Choice of target and message: Profile guides the appeal, tone, language and creative theme to match the audience's values and lifestyle.
- Media and timing: Selection of suitable media (social media, TV, print, regional channels), spokesperson and timing of the campaign.
- Offers and efficiency: Tailoring offers and promotions, avoiding wasted spend, measuring response.
- Or any other relevant point.

Example: Any relevant illustrated example (e.g., a youth-focused data-plan campaign on digital platforms; a jewellery brand's wedding-season campaign).

8a) Explain the organisational buying process in detail, highlighting the major stages from identification of need to evaluation of supplier performance. ***[K] / [CO2]***

Suggested pointers for the answer: (introduction 1 mark; each of the eight stages with explanation 0.5 mark)

Introduction: Meaning

The organisational buying process is the series of steps through which a business, government body or institution decides what goods or services to buy, evaluates suppliers and chooses among them, in order to run or resell its own operations. Examples include a hospital buying equipment, a factory buying raw materials, or a college buying computers.

Suggested pointers for the answer: (introduction 1 mark; each of the eight stages with explanation 0.5 mark)
Steps: 1. Problem / need recognition: Need arises from internal or external stimuli (new product, machinery breakdown, supplier pitch).
2. General need description: Characteristics and quantity of the item needed are defined.
3. Product specification: Technical specifications prepared, often by a value-analysis team.
4. Supplier search: Identifying and qualifying potential suppliers.
5. Proposal solicitation: Inviting quotations, proposals or tenders.
6. Supplier selection: Evaluating proposals on price, quality, delivery and service, and selecting suppliers.
7. Order-routine specification: Final order with quantity, delivery schedule and terms.
8. Performance review: Evaluating supplier performance to continue, modify or end the relationship.

8b) A young professional purchases an expensive branded handbag because she believes it will improve her social image and make her feel more confident. Identify the relevant buying motives and explain how they influence her purchase decision. ***[A] / [CO2]***

Suggested pointers for the answer: (identification of motives 3 marks for three relevant motives with explanation; explanation of influence on decision 2 marks) Mark liberally.

The young professional's purchase of an expensive branded handbag is primarily influenced by emotional buying motives (such as prestige, status, self-esteem and self-confidence) and rational motives (Quality, durability, brand reputation) <u>Emotional Motives:</u> • Social image / prestige motive: Desire for status and approval from others; linked to esteem and social needs (Maslow); conspicuous consumption.
• Confidence / self-esteem motive: Need to feel confident and enhance self-concept; the brand acts as a symbol of identity. • Social Acceptance Motive: The desire to create a favourable impression and gain recognition from others may also influence her decision.
<u>Rational / product-related motives:</u> • Quality, durability, brand reputation and assurance (if mentioned).

How Buying Motives Influence Her Purchase Decision: Motives create the need, make social and emotional attributes more important than price, and narrow evaluation to prestige brands.

1. Prestige and Status Motive: Encourages her to choose an expensive branded handbag to improve her social image.
2. Self-Esteem Motive: Motivates her to purchase a premium brand to experience pride and personal satisfaction.
3. Self-Confidence Motive: Influences her to buy the handbag because she believes it will enhance her confidence.
4. Social Acceptance Motive: Encourages her to select a prestigious brand to gain recognition and approval from others.
5. Or any other relevant explanation

Part C

LONG ESSAY QUESTION

Answer one question from the pair (a / b). The question carries 20 marks. [1 x 20 = 20]

9a) What are the stages of the Family Life Cycle? Explain the importance of family and households in consumer buying behaviour. ***[U] / [CO3]***

Suggested pointers for the answer: (marks as indicated against each part)
Introduction (2 Marks) : Meaning of family and household and the difference between them; family life cycle (FLC) as a classification of households by age, marital status and presence/age of children.
FLC stages (13 marks)
• Bachelor stage: young, single, living apart from parents; spend on fashion, entertainment, gadgets, travel.
• Newly married couples (honeymooners / DINKs): high purchasing power; spend on furniture, vacations, durables, insurance.
• Full nest I: youngest child under six; home purchase, baby products, health and education savings.
• Full nest II: youngest child six or older; family packs, education, sports, entertainment.
• Full nest III: older couples with dependent children; replacement of durables, higher education spending.
• Empty nest I: children have left, head still working; travel, hobbies, luxuries, home improvement.
• Empty nest II / retired: reduced income; health care, medical products, leisure.
• Solitary survivor: single older person; health care, companionship, security. Modern variants (single parents, childless couples, live-in households) may also be credited.
Importance of Family and Households in Consumer Buying Behaviour (5 marks) 1. Influence on Buying Decisions: Family members influence the selection of products and brands through their opinions, preferences and recommendations. For example, children may influence the choice of a family holiday destination.

2. Different Buying Roles: Family members may act as initiators, influencers, decision-makers, buyers and users in the purchasing process. For example, a child may request a bicycle while the parents decide which model to purchase.
3. Changes in Needs and Consumption: Family needs change according to the stage of the family life cycle. For example, families with young children purchase baby products, while older couples may spend more on healthcare.
4. Influence on Brand Preferences: Family members often influence one another's brand choices through shared experiences and recommendations. For example, children may develop preferences for brands regularly purchased by their parents.
5. Joint Purchase Decisions: Many household purchases involve discussions and decisions among family members. For example, purchasing a car, refrigerator or house may require agreement between spouses.
6. Family Income and Budget Allocation: The combined income, financial responsibilities and priorities of household members influence purchasing power and expenditure. For example, families with school-going children may allocate a larger share of their budget to education.
7. Consumer Socialisation: Families teach children consumption habits, values, brand preferences and spending behaviour. For example, children may learn saving habits and responsible purchasing from their parents.
8. Influence on Product Usage: Household size and composition determine the quantity and types of products purchased. For example, a large family may prefer bulk grocery packs and larger household appliances.
9. Influence on Lifestyle and Consumption Patterns: Family values, traditions and lifestyles influence product choices and consumption habits. For example, a health-conscious family may prefer nutritious food and fitness-related products.
10. Importance for Market Segmentation: Marketers can use household size, family composition and life cycle stages to identify consumer segments and develop suitable products and promotional strategies. For example, companies may promote educational products to families with school-going children.

Or Any other relevant point or example.

9b) Analyse how the relative importance of internal and external influences varies across different purchase situations. Discuss the influence of personal factors, psychological factors, family,

reference groups, culture, social class and marketing stimuli on high-involvement and low-involvement purchase decisions, with suitable examples. ***[An] / [CO3]***

Introduction and Explaining Internal and external factors and Involvement **(8 marks)**

- Consumer buying behaviour is influenced by a combination of internal and external factors. Internal influences arise from the individual consumer, while external influences originate from the consumer's social, cultural and marketing environment.
- Internal influences include personal factors such as age, income, occupation, lifestyle and personality, and psychological factors such as motivation, perception, learning, attitudes and beliefs.
- External influences include family, reference groups, culture, social class and marketing stimuli such as product features, price, advertising and promotional offers.

The relative importance of these influences varies according to the level of consumer involvement, the nature of the product, the perceived risk and the purchase situation.

High-involvement purchases: decisions in which consumers invest considerable time and effort because the product is expensive, personally important, unfamiliar or associated with significant risk. Consumers usually engage in extensive information search and careful evaluation. Example: Purchasing a car, selecting a college, buying a house or choosing a health insurance policy.
Low-involvement purchases are routine decisions involving relatively little perceived risk, financial commitment or personal importance. Consumers generally make these purchases quickly, often relying on habits, familiarity and convenience. Example: Purchasing toothpaste, biscuits, soap, salt or a familiar brand of packaged food.

The importance of internal and external factors differs between these two types of purchases.

Comparative Analysis of Internal and External Influences:

Influencing Factor	**High-Involvement Purchase Decisions**	**Low-Involvement Purchase Decisions**
1. Personal Factors	Consumers carefully consider income, occupation, age, lifestyle and long-term requirements before purchasing expensive or important products. Example: A family considers income, family size and commuting needs before buying a car.	Personal factors influence routine preferences, but consumers generally spend less time evaluating them. Example: A health-conscious consumer regularly purchases whole-wheat bread.
2. Psychological Factors	Motivation, perception, attitudes and learning strongly influence information search, product evaluation and brand selection. Example: A smartphone buyer compares camera quality, performance, reliability and reviews before purchasing.	Consumers rely more on previous experience, habits, brand familiarity and established attitudes. Example: A consumer repeatedly purchases the same toothpaste without comparing alternatives.
3. Family	Family members often participate actively in important decisions, influencing product requirements, evaluation and final selection. Example: Parents and children discuss safety,	Family influence is mainly reflected through routine household needs and established brand preferences. Example: A parent regularly purchases a particular breakfast cereal preferred by the children.

	comfort and space before purchasing a family car.	
4. Reference Groups	Consumers seek advice and recommendations from friends, colleagues, experts and online communities to reduce uncertainty. Example: A student consults friends and technology reviewers before purchasing an expensive laptop.	Reference groups influence purchases through imitation, popularity and casual recommendations. Example: A student tries a new snack because it is popular among friends.
5. Culture	Cultural values and traditions can strongly influence important purchases associated with marriage, education, housing and family responsibilities. Example: Indian wedding traditions influence the purchase of gold jewellery.	Culture shapes everyday consumption habits and familiar product preferences, often without conscious evaluation. Example: Consumers regularly purchase rice, spices and traditional food products according to cultural habits.
6. Social Class	Social class may influence product quality, brand image, prestige and lifestyle aspirations. Example: A consumer purchases a luxury car to reflect professional success and social status.	Social class influences routine brand preferences, shopping outlets, affordability and spending patterns. Example: Consumers choose grocery brands and retail outlets according to their purchasing power and lifestyle.
7. Marketing Stimuli	Consumers carefully evaluate product features, prices, warranties, demonstrations, reviews and after-sales services. Example: A car buyer compares safety features, financing options and service facilities before purchasing.	Advertising, attractive packaging, discounts, shelf placement and promotional offers can trigger quick decisions. Example: A consumer tries a new biscuit brand because of an attractive discount at a supermarket.

Part D

CASE STUDY (COMPULSORY) (20 Marks)

The Case: ZapCola's Jingle Problem. *[An] / [CO4]*

- 2 Marks may be given for general introduction to the case

i) Define consumer learning and explain, with reference to the case, how ZapCola's campaign reflects principles of classical or operant conditioning. (Suggested allocation: 6 marks)

Suggested pointers for the answer:	Marks
Consumer learning: The process by which consumers acquire purchase and consumption knowledge and experience that they apply to future related behaviour.	2
Classical conditioning (in the case): The jingle (conditioned stimulus) was repeatedly paired with ads and brand cues (unconditioned stimulus) until the consumer responded with recall and liking; 68% could hum it. Repetition created the association.	4
Limits of conditioning / extinction: When the campaign paused, the pairing stopped and recall fell to 11% (extinction / forgetting); the jingle was not linked to a usage occasion.	

Suggested pointers for the answer:	Marks
OR	
Operant conditioning (in the case): Trial purchases were not reinforced by a strong rewarding experience or cue, so habit did not form; FizzUp's repeated 'Sunday family lunch' ritual reinforced repeat purchase.	4

ii) Distinguish between short-term memory (STM) and long-term memory (LTM). In your opinion, why did the jingle create strong STM recall but weak LTM retention? (Suggested allocation: 6 marks)

Suggested pointers for the answer: (1 mark may be awarded to each point)	Marks
Distinction (any three points, 1 mark each): STM: limited capacity (about 5 to 9 chunks), brief duration (seconds), temporary, holds current information, lost without rehearsal. LTM: virtually unlimited capacity, durable and permanent storage, organised by meaning, needs encoding and retrieval cues.	3
Why strong STM: A short, catchy, repeated five-second jingle is easy to attend to and hold (rhythm, rehearsal by humming), giving immediate recall.	3
Why weak LTM: Shallow, repetitive encoding without meaning; no link to a usage occasion or personal relevance (no elaborative rehearsal, no retrieval cue); no reinforcement; decay and interference during the six-month pause; low involvement purchase.	

iii) Suggest two marketing strategies ZapCola could use to stimulate short-term memory and two strategies to build long-term learning. (Suggested allocation: 6 marks.)

Suggested pointers for the answer:
STM strategies (any two, 1.5 marks each): Repetition and frequency of the jingle; short, simple slogan or chunked message; distinctive sound, colour and visual cues; consistent placement (e.g., ad ending); mnemonics and rhyme; high-impact attention-getting media bursts.
LTM strategies (any two, 1.5 marks each): Link the brand to specific usage occasions through storytelling (e.g., pizza, post-workout) as FizzUp did; emotional and elaborative messages; spaced repetition over a long period; reinforcement through sampling, loyalty rewards and coupons; point-of-purchase cues near related products; brand rituals and consistent brand identity.

Note: This is an Apply/Analyse-based case study. Hence, marks may be awarded if students have been able to successfully defend the answers based on the case study and additional knowledge about the topic. Mark liberally.

General note: The pointers are suggestive. Any other relevant point or example given by the student may be credited.

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